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Recycling with the Best

Weekly Ship Recycling Report

21 September - 27 September 2024

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Highlights of the week

This week, the ship recycling industry displayed varied dynamics across different regions. In India, the market experienced a noticeable improvement, particularly in the local scrap market, which brought a wave of optimism. However, the rapidity of this change also introduces uncertainties about its lasting impact. Bangladesh's market remained stable yet slow, as recyclers took a cautious stance, opting to wait due to potential future declines in prices, which stifled market activity. Meanwhile, Pakistan's sector did not see significant shifts in demand or pricing, but the recent approval of a substantial IMF aid package might set the stage for more positive changes in the near future. Turkey's market mirrored last week's stagnation, with little to no change in imports or local activity. Overall, while there are pockets of optimism, such as in India, the global ship recycling market generally continues to navigate through a phase of cautious optimism and relative inactivity, requiring careful monitoring and strategic adjustments moving forward.

The outlook for the global economy, as highlighted in the World Economic Forum's September 2024 Chief Economists Outlook, suggests limited improvement ahead. A majority of economists (54%) anticipate the economic landscape to remain stable over the coming year, while 37% predict further deterioration. Despite some encouraging signs, including reduced inflation and resilient global trade, the report warns that any stabilization is occurring at one of the weakest levels seen in decades.

Exchange Rates:

USD / INR ₹

This Week	: 83.69
Previous Week	: 83.54
Lost	: 0.15

USD / BDT ৳

This Week	: 119.52
Previous Week	: 119.51
Lost	: 0.01

USD / PKR Rs

This Week	: 277.84
Previous Week	: 277.93
Gained	: 0.09

USD / TRY ₺

This Week	: 34.16
Previous Week	: 34.11
Lost	: 0.05

India

Market sees rapid and unexpected improvement, but uncertainty surrounds its longevity

- The market landscape is showing signs of improvement, which has come as a rapid and unexpected development. Particularly notable is the increase in the local scrap market, where prices have surged by approximately USD 12 per tonne.

- The sudden and surprising nature of this improvement raises uncertainties about its sustainability, making it challenging to predict the duration and stability.

- The Indian Steel Association (ISA) has raised concerns that the recent 25% tariffs imposed by the United States on Chinese-imported steel will negatively impact the Indian steel industry. The ISA warned that these trade measures could lead to a diversion of Chinese steel towards India, exacerbating challenges for the domestic market

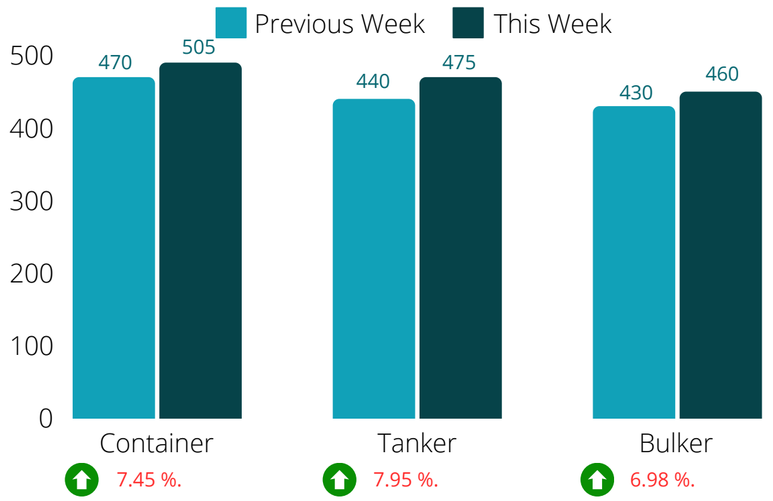
Beaching Dates

03 October to 08 October 2024

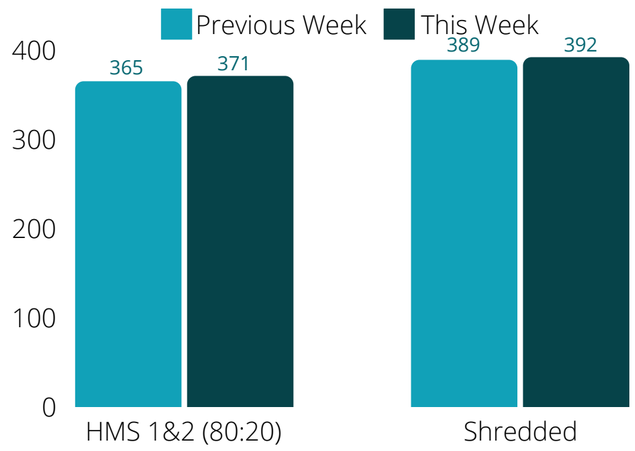
15 October to 23 October 2024

31 October to 07 November 2024

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

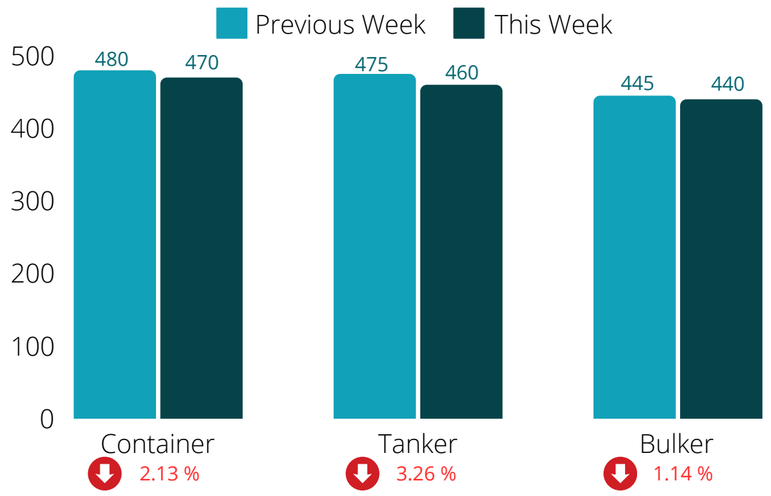
Market remains low as recyclers exercise caution amid potential price declines.

- The market conditions have remained consistent, mirroring sentiments from the previous week and continuing a trend seen over recent times.
- Recyclers are currently adopting a cautious stance, influenced by the expectation that prices might drop further. This mentality has resulted in a slow and sluggish market, with many recyclers choosing to observe rather than engage in new transactions. This wait-and-see approach is contributing to reduced market activity.
- Bangladesh's economic outlook has worsened, with the IMF comparing its low revenue collection to that of South Sudan. Additionally, the Asian Development Bank has reduced its growth forecast for the 2024-25 fiscal year to 5.1%, a significant decrease from the previous 6.6%, citing supply disruptions caused by political unrest.

Beaching Dates

01 October to 04 October
16 October to 19 October
30 October to 02 November

Price for Recycling Ships in Bangladesh



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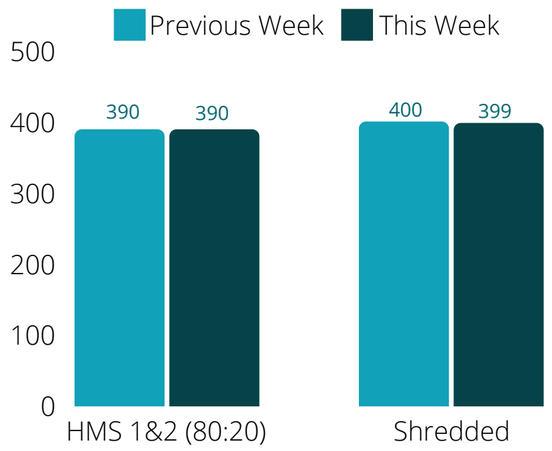
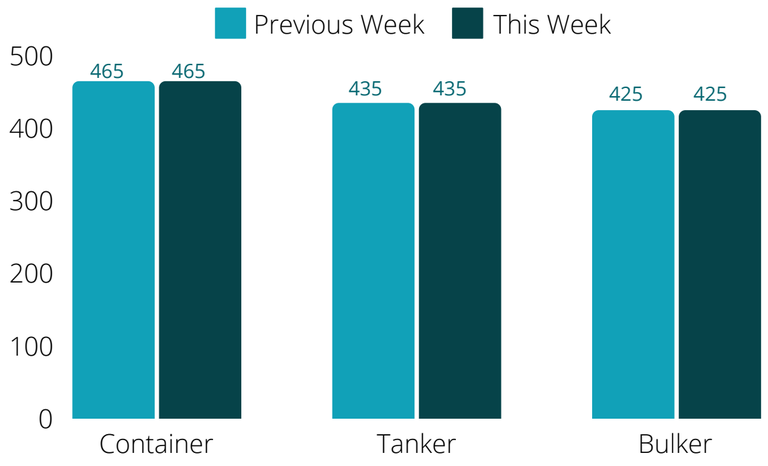


Pakistan

Market stagnation in Pakistan: IMF bailout aims to stabilize economy amid industrial challenges.

- The market remains unchanged with no significant fluctuations in prices or demand this week.
- Despite this stagnation, the IMF's recent approval of a USD 7 billion aid package backed by significant financial assurances from China, Saudi Arabia, and the UAE is expected to stabilize the currency and could indirectly impact future market dynamics.
- Meanwhile, in the broader steel industry, economic challenges have forced a major steel company to temporarily halt operations at one of its key mills in Karachi, reflecting the severity of the financial strains affecting industrial production.

Price for Recycling Ships in Pakistan



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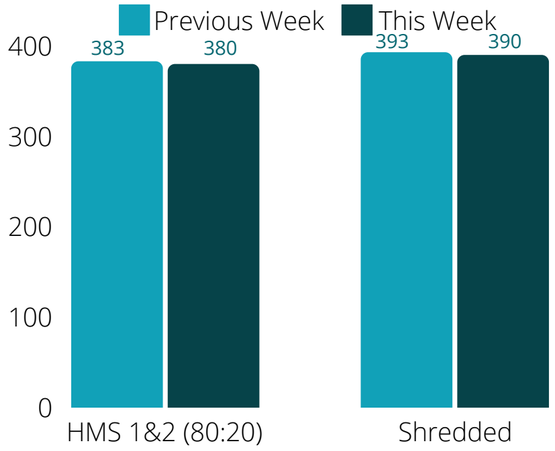


Beaching Dates

Throughout the month

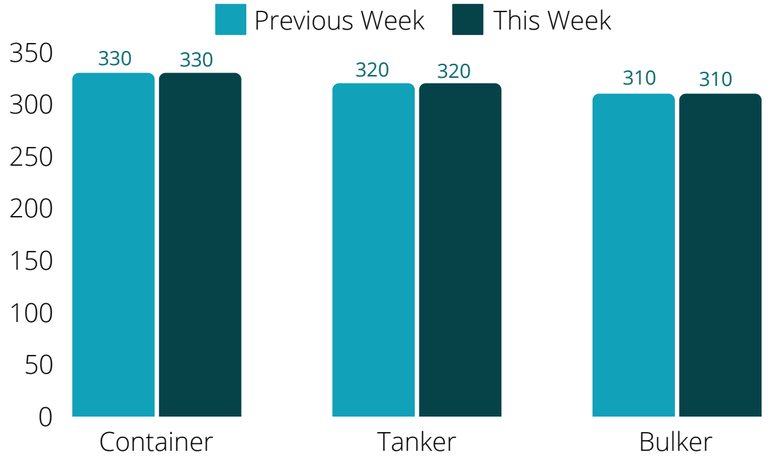
Türkiye

Market stagnation persists with no notable changes in imports or local activity.

- The market continues to show minimal shifts or movements, remaining almost identical to how it was last week, with no improvements in imports or local activity.

- The Turkish central bank has raised the reserve requirement ratios for Turkish lira deposits, with short-term ratios increasing from 12% to 15% and long-term from 8% to 10%. Additionally, adjustments were made for the reserve ratios of lira-denominated reserves for foreign currency deposits.

Price for Recycling Ships in Türkiye



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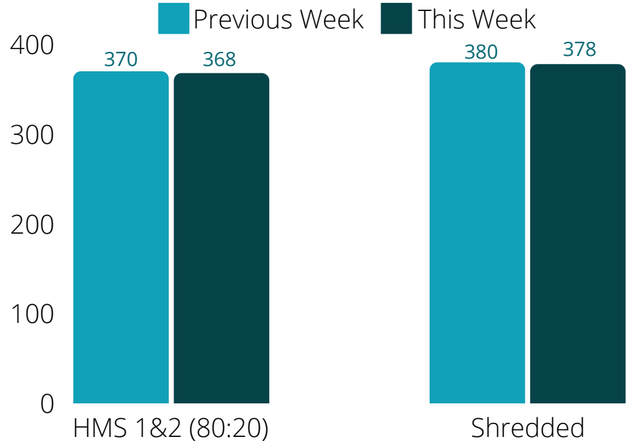
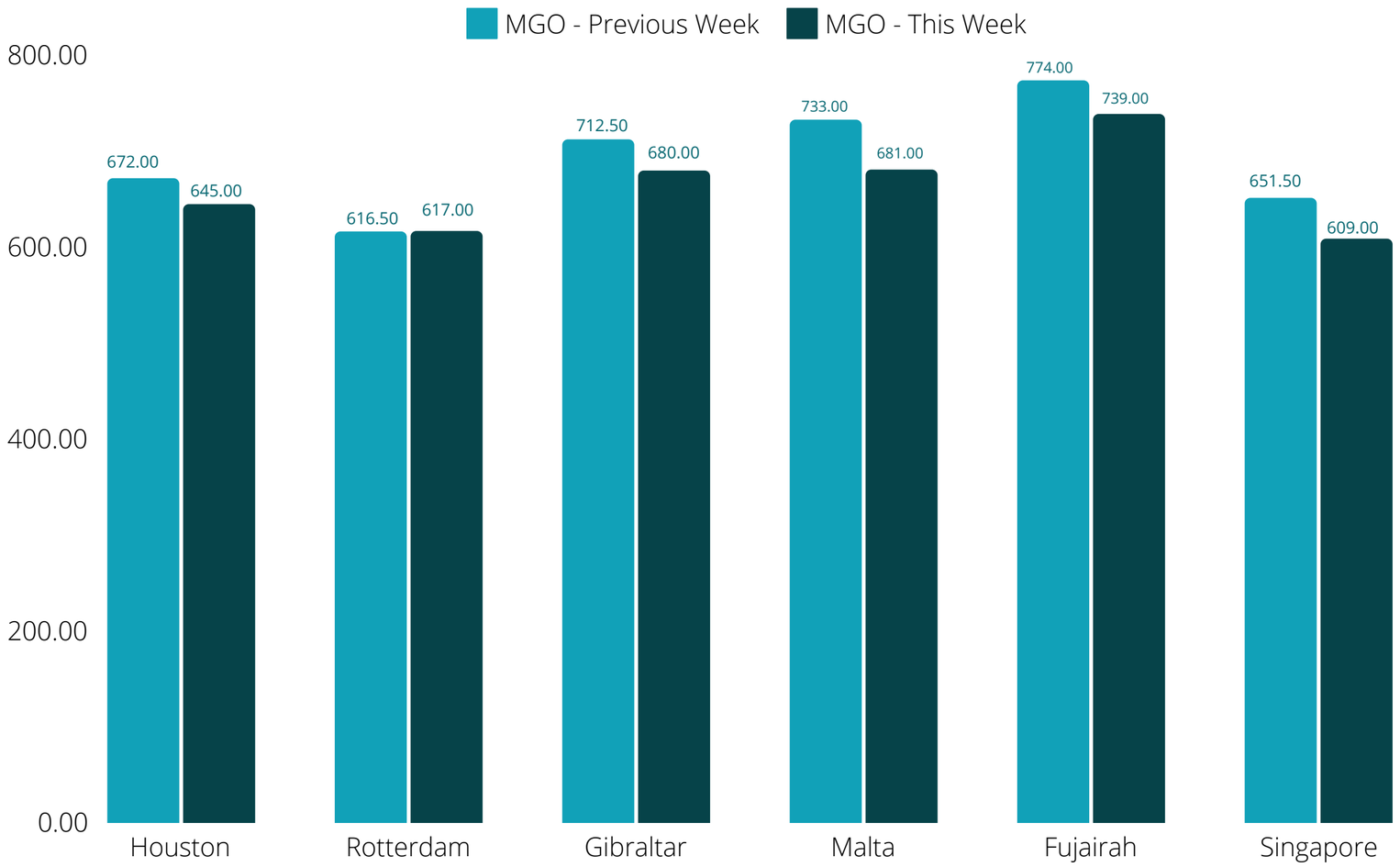


Beaching Dates

Throughout the month

Bunker Prices at Port



Brent Crude

This Week	: 71.58
Previous Week	: 74.50
Movement	: - 2.92

WTI Crude

This Week	: 67.79
Previous Week	: 71.72
Movement	: - 3.93

List of Vessels Sold this Week

VESSEL NAME	TYPE OF VESSEL	IMO NO.	YEAR OF BUILD	COUNTRY OF BUILD	LDT	TERM OF SALE	LOCATION OF DELIVERY	SALE PRICE/LDT (USD)
OMAR TRADER	GENERAL CARGO SHIP	7713175	1980	SPAIN	1,800	DELIVERED	ALIAGA, TURKIYE	310
ASIA	CONTAINER	8914556	1991	DENMARK	3,729	DELIVERED	ALANG, INDIA	UNDISCLOSED
MY MERAY	BULKER	9000302	1992	JAPAN	7,049	DELIVERED	ALANG, INDIA	UNDISCLOSED

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